

Table 6: Trading the signal. The same five strategies applied to the carry trade and to the high-beta portfolio (total returns, 1988–2026, no transaction costs). The overwrite strategies stay invested when the average curve is in the downcurve configuration, where the carry premium covers the risk.

Strategy	Mean	Sharpe	Skew	ES _{5%}	Max DD	Worst mo.
<i>Panel: the carry trade (total returns)</i>						
Always in	+4.18	0.53	−0.69	−5.32	−30.1	−11.61
Exit on signal	+5.15	0.79	−0.21	−4.25	−25.9	−5.78
Anti-carry on signal	+6.13	0.79	+0.12	−4.50	−25.9	−5.78
Overwrite: exit unless downcurve	+5.57	0.82	−0.21	−4.29	−25.9	−5.78
Overwrite: anti-carry unless downcurve	+6.97	0.90	+0.15	−4.38	−25.9	−5.78
<i>Panel: the high-beta portfolio (total returns)</i>						
Always in	+1.81	0.23	−0.40	−5.03	−25.8	−8.97
Exit on signal	+2.54	0.37	−0.40	−4.66	−24.7	−8.97
Anti-carry on signal	+3.27	0.42	−0.29	−4.80	−35.0	−8.97
Overwrite: exit unless downcurve	+2.96	0.41	−0.36	−4.71	−20.7	−8.97
Overwrite: anti-carry unless downcurve	+4.10	0.53	−0.27	−4.71	−21.2	−8.97